

He uses this strategy to trade U.S. Stocks, ETFs, and indices.

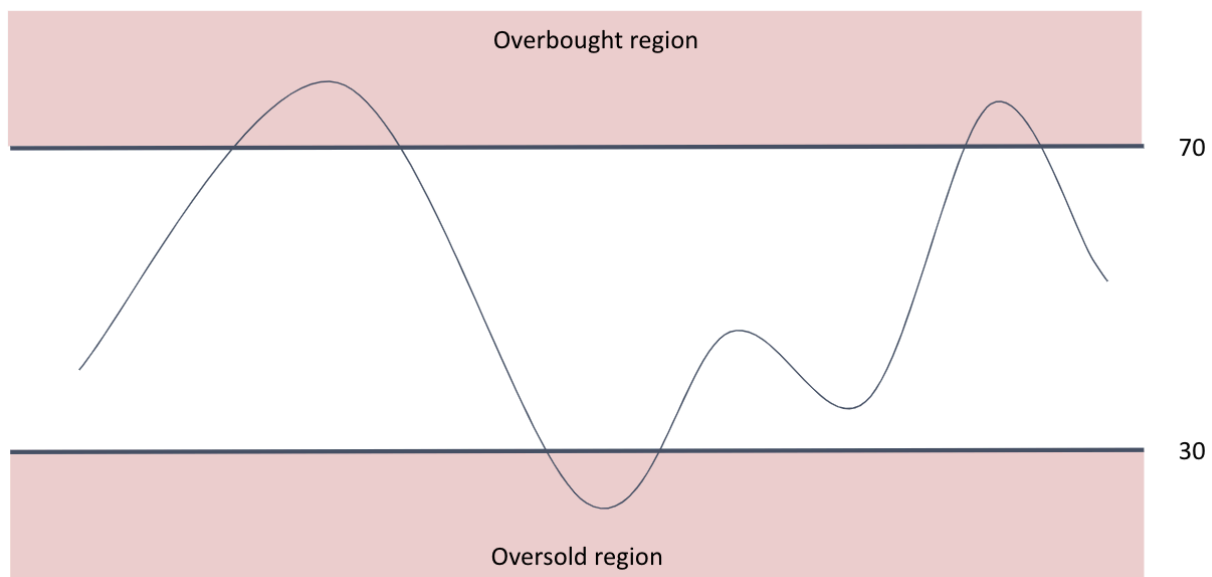
Step #1: RSI Level

RSI = Relative Strength Index.

It is an indicator you can add to your charts. Sid uses it on stocks.

It works by looking at how much the price of something has gone up or down over the past 14 days. If something has gone up a lot, the RSI will tell us that it might be too expensive, and we could potentially short it. If something has gone down a lot, the RSI will tell us that it might be too cheap, and we could consider buying it because it might be a good deal.

In other words, it indicates whether a stock is overbought or oversold. Have a look at the illustration below.



If the RSI is below 30, Sid will look for a long trade. If it's above 70, he will look for a short trade. Simple.

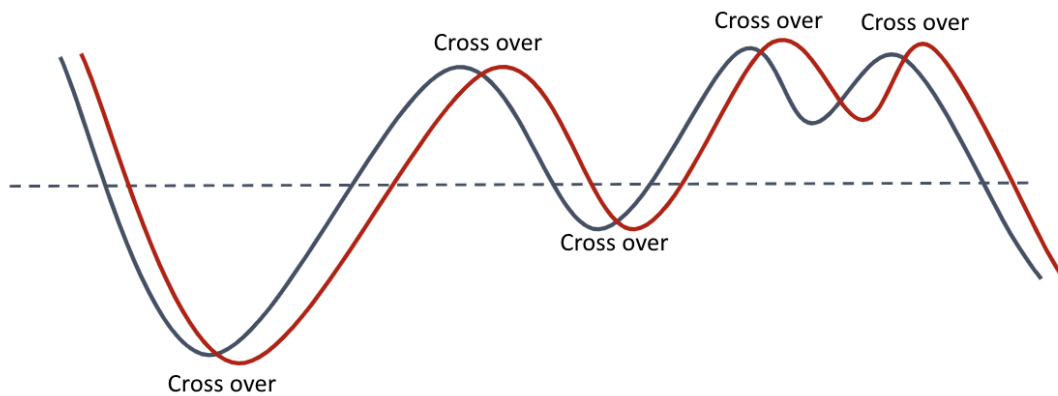
Step #2: MACD Crosses Over

MACD stands for Moving Average Convergence Divergence, which is another tool that helps people who buy and sell things like stocks figure out when to buy and sell.

It uses two different moving averages that show the price trend of a stock over different time periods.

For example, the MACD might compare the price of Apple stock over the past 12 days and the past 26 days. If the shorter moving average (12 days) crosses above the longer moving average (26 days), it's a sign that the price of Apple stock is trending up, and it might be a good time to buy. On the other hand, if the shorter moving average crosses below the longer moving average, it's a sign that the price of Apple stock is trending down, and it might be a good time to sell.

See the illustration below.



So, the MACD can help traders and investors make informed decisions about when to buy or sell Apple stock. It acts like a compass that helps them navigate the ups and downs of the stock market. By using the MACD along with other technical analysis tools, traders can make better-informed decisions about their trades and investments.

Sid uses it as a confirmation.

The RSI tells him something is overbought or oversold. Then, he waits for the MACD lines to cross in the same direction the RSI is going.

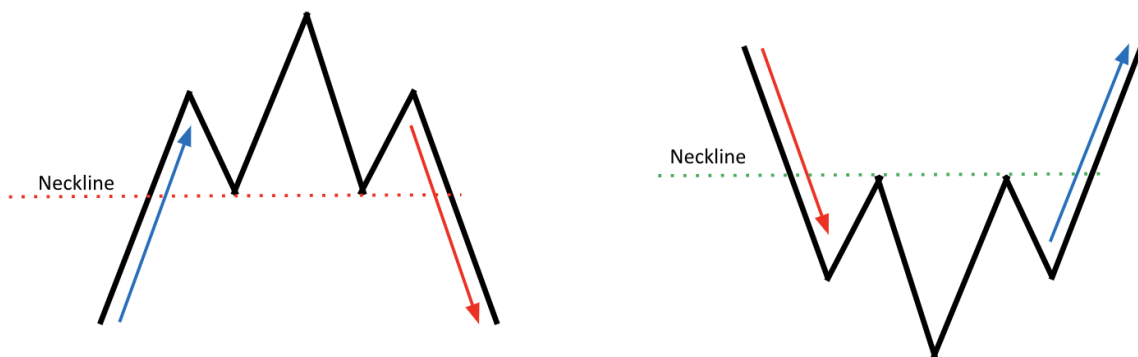


These two indicators can be found on all charting platforms. It's important to note that Sid uses the default settings. There's no need to tinker with anything.

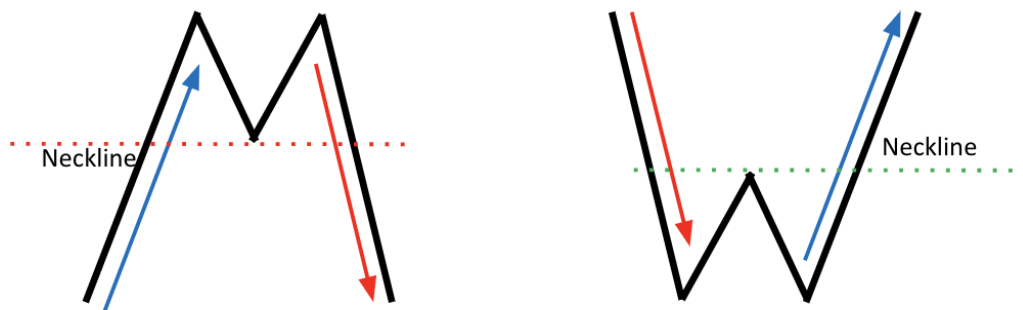
Step #3: Reversal Pattern

This is another level of confirmation. Sid uses the Head & Shoulders and Double top/bottom reversal patterns. They aren't strictly required when using this method, but they are recommended.

Head & Shoulders



Double top/bottom



Let's quickly recap.

For a long trade:

- RSI below 30.
- Wait for MACD to cross over.
- Reversal pattern confirmation.

For a short trade:

- RSI above 70.
- Wait for MACD to cross over.
- Reversal pattern confirmation.

Step #4: Exit Levels

Before you enter the trade, you need to know your exit levels. True to form, Sid uses the simplest exit rules imaginable.

For a long trade, place your stop loss below the low when RSI is 30 or lower.

For a short trade, place your stop loss above the high when RSI is above 70.

Below is an illustration with some examples. The stop losses have been drawn in.



Once you're in the trade, you will close your position once RSI reaches the level 50. This is the same for both long and short.



Overbought & Oversold Strategy Results

Every single week inside of The Trading Academy, there are 8 Question Sessions for students.

And these sessions have two purposes.

#1. To answer questions.

#2. To demonstrate how the instructor picks trades.

They go into the live markets and give the students in attendance their “top picks”.

These are their absolute favorite setups.

After the session we post them inside of The Trading Academy community feed. See an example of one of Sid's below.



The Trading Academy

19h ago in Academy Setups



Sid Naiman Top Pick Jan 21 2025

Dear Academy Students,

As discussed on today's live Question Session, here is today's top pick for Sid Naiman:

Trade Details

Top Pick Ticker: XLP

Direction: Long (buy)

Timeframe: Daily

Methodology: SID method

What are we waiting for: RSI pointing up; MACD crossed up.

Observations on the trade: Coming out of a price consolidation sideways price pattern.

Problem Areas: Volatile market so RSI could reverse for early exit.

--IMPORTANT--

These are opportunities in the live market that our instructors are look... [See more](#)



There's a simple description and an image. You can also watch the replay of the session where he explains the trade.

But here's the crazy part. Since we started doing this, Sid's top picks have had a 90% win rate. You can go into The Trading Academy and search "Sid's top picks", and you will see a long list of them.

Here's why they are so successful.

Sid is only allowed to have one "Top Pick" in each session. That's how a top pick works. There has to be one setup that stands out above the rest.

Those are the trades that have a 90% win rate.

Normally, Sid gets between 75% to 80% win rates.

One of our students who learned Sid's strategy, Ramon Hagelen, got a 78.02% win rate. He posted his backtested results in The Trading Academy.



Ramon Hagelen · Oct '24

Hi All,

Here is my scrutinous backtesting result.

It was hard work, but totally worth it.

Especially the conformity check was worth the work for confirming the consistency in the applying the rules.

Very much looking forward to the forward testing and seeing how that will teach me something new....

Another building block placed!

https://docs.google.com/spreadsheets/d/1b1srrf7F3iW_kgVGS4npXweekCfildl4XiWESHuie_/edit?usp=sharing

4 Reply



Simon Pullen · Oct '24

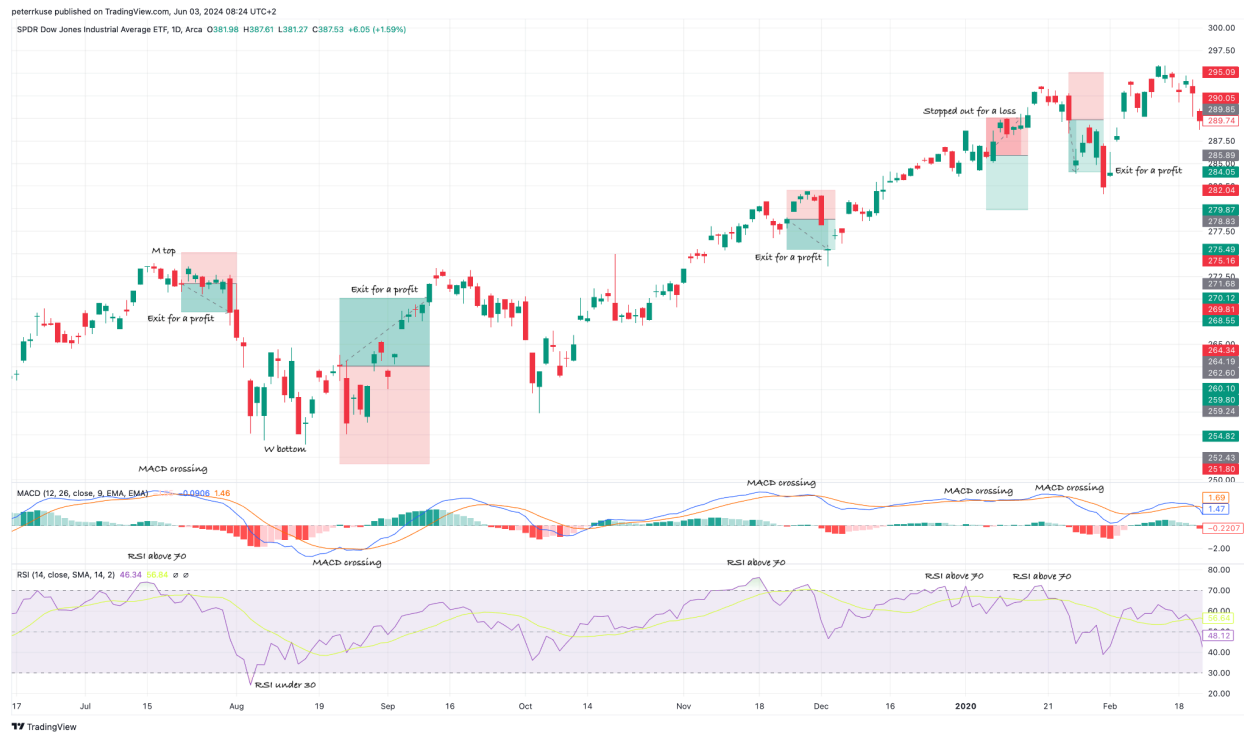
@Ramon Hagelen - loving your work Ramon

1 Reply

The total gain for the trades was 192.54%.

		Target	
Win	71		win rate
Loss			
Success	<u>78.02%</u>		
Long	150	150	
Short	150	150	
Sum RR	166.59		
Average RR	0.516	0.2	
Average Trade Duration	7.229		
Total %	<u>192.54%</u>		Total % gained

Just like the students we mentioned in Simon's chapter, Ramon took a screenshot of every single trade. Here's a screenshot with several trades on DIA (The Dow Jones).



Let's blow up each one so you can see Sid's strategy in action.







Another student, Abdulazeem Abubakar also backtested 300 trades of Sid's strategy.



Abdulazeem Abubakar • Dec '24

I'm happy to have completed my 300 trades of the @Sid Naiman strategy. please find below my backtesting sheet and result analysis. @Alex Morris I would really appreciate your feedback to see if I'm on the right track. Average return is 0.6 and win rate is 76%. The average risk to reward seems a bit strange to me "2.26:1". @Sid Naiman is this usually the case??

<https://docs.google.com/spreadsheets/d/1Dc5yQuIOYHTmZprYkxXXY04oD03b0hYcccLQVaaXa4E/edit?usp=sharing>

https://docs.google.com/document/d/16lDfPyl8Sip-2_uLX1Wck_mRq1g-ZZuoy6TrvKeq0AE/edit?usp=sharing... See more

6 Reply

He ended up getting a 76% win rate and a total R of 170.

Trade R	0.6
Total R	170.2
Win rate	76%
Reward:Risk	1:2.26 (because profit is taken when RSI hit 50)